

I always keep some stalwarts in my portfolio because they offer pretty good protection during recessions and hard times. You can see here that during the 1981–82 period, when the country seemed to be falling apart and the stock market fell apart with it, Bristol-Myers went sideways (see chart). It didn't do that well in the 1973–74 washout as we've already seen, but nothing escaped that bath, and besides, the stock was grossly overpriced at the time. In general, Bristol-Myers and Kellogg, Coca-Cola and MMM, Ralston Purina and Procter and Gamble, are good friends in a crisis. You know they won't go bankrupt, and soon enough they will be reassessed and their value will be restored.

Bristol-Myers has had only one down quarter in twenty years, and Kellogg hasn't had a down quarter for thirty. It's no accident that Kellogg can survive recessions. No matter how bad things get, people still eat cornflakes. They may take fewer trips, postpone the purchase of new cars, buy fewer clothes and expensive knickknacks, and order fewer lobster dinners at restaurants, but they eat just as many cornflakes as ever. Maybe they eat more cornflakes, to make up for the lack of lobsters.

People don't buy less dog food during recessions either, which is why Ralston Purina is a relatively safe stock to own. In fact, as I write this, my colleagues are flocking to the Kelloggs and the Ralston Purinas, since they're all afraid of a recession right now.

THE FAST GROWERS

These are among my favorite investments: small, aggressive new enterprises that grow at 20 to 25 percent a year. If you choose wisely, this is the land of the 10-to 40-baggers, and even the 200-baggers. With a small portfolio, one or two of these can make a career.

A fast-growing company doesn't necessarily have to belong to a fast-growing industry. As a matter of fact, I'd rather it didn't, as you'll see in [Chapter 8](#). All it needs is the room to expand within a slow-growing industry. Beer is a slow-growing industry, but Anheuser-Busch has been a fast grower by taking over market share, and enticing drinkers of rival brands to switch to theirs. The hotel business grows at only 2 percent a year, but Marriott was able to grow 20 percent by capturing a larger segment of that market over the last decade.

The same thing happened to Taco Bell in the fast-food business, Wal-Mart in the general store business, and The Gap in the retail clothing business. These upstart enterprises learned to succeed in one place, and then to duplicate the winning formula over and over, mall by mall, city by city. The expansion into new markets results in the phenomenal acceleration in earnings that drives the stock price to giddy heights.